IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. HT-2025-000318

B E T W E E N:

HARROW PRECISION ENGINEERING LIMITED

Claimant

- and -

MELBOURNE SEALTECH LIMITED

Defendant

DEFENCE

1. Save as expressly admitted below, the Defendant denies each and every allegation in the Particulars of Claim as if the same were set out and traversed seriatim.

2. Paragraphs 1 and 2 are admitted.

3. Paragraph 3 is admitted. It is admitted that the Defendant supplied 1,860 Type MS-72 cartridge seals under the Supply Agreement dated 9 May 2023 at a unit price of £214.

4. As to paragraph 4, it is admitted that the Agreement contained clause 8.1 in the terms pleaded. It is averred that clause 8.1 must be read together with clauses 11 and 12 of the Agreement, which (a) excluded liability for indirect or consequential loss, including loss of profit, and (b) limited the Defendant's aggregate liability to the price paid for the Seals giving rise to the claim. The Defendant will rely on the full terms of the Agreement at trial.

5. Paragraph 5 is denied. The Agreement contained express terms as to quality which excluded the implied terms relied upon, alternatively the implied terms are qualified by the said express terms.

6. Paragraph 6 is denied. The Seals were manufactured in accordance with drawing HP-400/SEAL Rev C and each batch passed the Defendant's quality-control inspection, including face-flatness inspection, and was accompanied by a certificate of conformity. The Defendant's retained batch samples conform to grade CG-218 and to the specified flatness tolerance.

7. Paragraph 7 is denied. If (which is denied) the Seals failed prematurely, such failures were caused not by any defect in the Seals as supplied but by (a) operation of the pumps on abrasive or contaminated water outside the clean and lightly-contaminated duty for which the MS-72 was specified; and/or (b) defective installation of the cartridge seals by the Claimant or its customers, in particular over-tightening of the drive collar causing distortion of the seal faces.

8. As to paragraph 8, no admission is made as to the report of Trentham Tribology Laboratory, which the Defendant has not had the opportunity to test. The Defendant will rely on its own expert evidence. The suggestion of a "systemic" manufacturing failure is denied and is inconsistent with the Defendant's quality records.

9. Paragraph 9 and the Schedule of Loss are denied. The sums claimed are not admitted, are excessive, are insufficiently particularised, and include heads of loss (in particular loss of profit) which are excluded by clauses 11 and 12 of the Agreement and/or are too remote.

10. Paragraph 10 is denied. The termination by Pennland Water plc of its framework with the Claimant was a decision of Pennland Water for which the Defendant is not responsible; it was not caused by any breach by the Defendant and any resulting loss is too remote to be recoverable.

11. In the premises, the Defendant denies that it is liable to the Claimant as alleged or at all. Further, and in any event, the Defendant's liability (if any) is limited by clauses 11 and 12 of the Agreement to a sum not exceeding the price paid for the Seals, namely £398,040.

12. Save as expressly admitted, each and every allegation is denied.

MARCUS DENHAM-LEWIS

Counsel for the Defendant

Statement of Truth

The Defendant believes that the facts stated in this Defence are true. I am duly authorised by the Defendant to sign this statement.

Signed: *for Melbourne Sealtech Limited* Dated: 8 August 2025

Denham Lewis LLP, Threadneedle House, 18 Cornhill, London EC3V 3ND — Solicitors for the Defendant